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Standard Chartered 1H20 Earnings Note

StanChart's 1H20 net earnings plummeted 31.3% y/y to KES 3.2B driven by a 328% y/y surge in loan loss provisions to KES 1.6B and a 5.6% y/y drop in total operating income. Following the bank's recent price decline, the upside has increased. Therefore, we upgrade our recommendation to BUY.

DATE:	**25th Aug 2020**
Target Price:	**KES 167.57**
Current Price:	**KES 149.95**
Upside:	**11.8%**
52 Week High:	**KES 225.00**
52 Week Low:	**KES 145.50**

Weaker net interest margin as interest income declines

Despite an 11.9% increase in the bank's loan book, interest income from loans and advances to customers declined by 6.7%. This may be attributed to the decline in the CBR during the period. In 1H20, the CBR stood at an average of 7.46% versus an average of 9.00% in 1H19. Meanwhile, customer deposits grew 12.3% y/y to KES 256.5B higher than our expectation of a 7.0% y/y. The bank managed to lower its deposit cost which led to a 12.0% y/y decline in its interest expense. However, net interest margin declined by 27bps y/y to stand at 8.1%.

Lower non-interest revenue contribution

Non-interest revenue's contribution declined by 46bps y/y mainly due to lower fees and commission income.

Asset book quality improves as NPL ratio declines to 13.9%

Standard Chartered has traditionally suffered from a deteriorating asset book. Consequently, the bank's NPL ratio has remained higher than its peers. In 1H20, gross NPLs were up 5.6% which was slower than the growth in its loan book. This is a positive development at a time when other banks are recording a surge in NPLs

Outlook

The bank's profitability is likely to be negatively affected by the decline in earnings. We are concerned about the decrease in total revenue as both interest and non-interest income decline. Of all the banks that have released their 1H20 results, Standard Chartered seems to be the worst affected by the lower CBR and CBK's regulations on fees charged on transaction. It is likely that banks have different interpretation of CBK's regulations as some banks are still charging for certain transactions (this has enabled them to grow their non-interest income in the current environment) while others have completely removed charges on digital money transfer.

The 78bps decline in the NPL ratio is a positive development and could be viewed as a signal that the bank has managed to contain some of its NPLs. We therefore expect the banks to record the lowest growth in NPLs among its peers.

Analyst

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Financial Statements

Income statement(KES Millions)	HY20	HY19	% Change
Loans and advances to Customers	6,290	6,738	-6.65%
Loans n Adv to Banks	685	473	44.82%
Government Securities	4,756	5,446	-12.67%
Interest Income	**11,932**	**12,732**	-6.28%
Deposits from Customers	2,319	2,603	-10.91%
Deposits from Banks	39	7	457.14%
Other interest expense	180	276	-34.78%
Interest Expense	**2,538**	**2,886**	-12.06%
Net interest income	**2,538**	**2,886**	-12.06%
Non interest income	4,402	4,713	-6.60%
Total operating income	**13,797**	**14,599**	-5.49%
Operating Expenses	8,691	7,639	13.77%
Loan loss provisions	1,625	379	328.76%
PBT	**5,105**	**6,920**	-26.23%
Tax	1,918	2,520	-23.89%
Profit after tax	**3,233**	**4,705**	-31.29%

Balance sheet	HY20	HY19	% Change
Cash with CBK	24,916	14,114	76.53%
Government securities	101,176	98,009	3.23%
Deposits due from banks	4063	5682	-28.49%
Loans and advances	134,317	120,064	11.87%
Other assets	3,016	2,519	19.73%
Total assets	**327,199**	**294,542**	11.09%
Liabilities			
Customer deposits	256,496	228,500	12.25%
Borrowed funds	-	-	-
Other liabilities	5,005	6,109	-18.07%
Total liabilities	275,478	247,669	11.23%
Shareholders Equity	51,720	46,874	10.34%
Total liabilities & Equity	**327,477**	**294,543**	11.18%

Source:,Company fillings

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Investment ratings

- **BUY:** Issued on counters with strong fundamentals whose upside lies between 10.0% and 20.0%.
- **HOLD:** Issued on counters with an upside of between 0% and 10.0%
- **SELL:** The counter currently has weak fundamentals coupled with potential downside.

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